But spins have a high risk of failure

So why aren't more companies pursuing spins? One reason is clear: a spin gone bad and ultimately abandoned without a sale can be a significant drain of time and resources. On average, one in 10 announced spin-offs is canceled and, of these, 70 percent are completely abandoned. (Exhibit 1). In such cases, resources are wasted on the abandoned spin and the company's valuation and market position can be compromised.

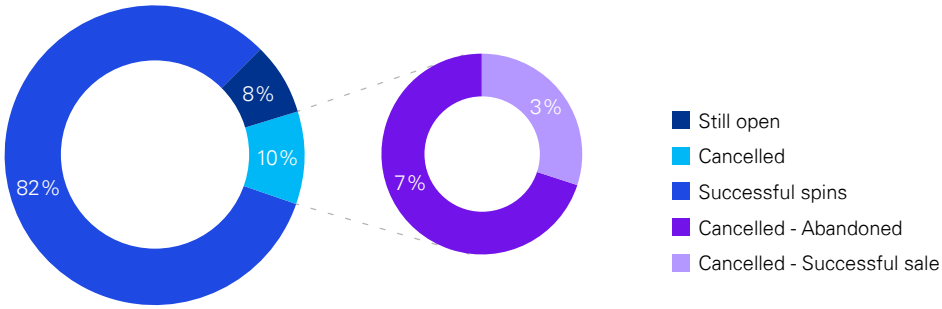
On the other hand, about 3 percent of announced spins over the same time period turned into successful sales. This means that while preparing the business for a spin, the parent company received an offer that exceeded the value the board expected to be captured from the spin.[7]

Spin-offs are only 1-2 percent of total divestiture deal volume over the past 15 years[8] but are significantly larger with average deal value 7-10x bigger than a typical divestiture deal (Exhibit 2).

Preparing for a spin is a detailed and labor-intensive proposition, involving many of the same financial disclosures that would be necessary for an IPO. Over the past six years, 100 spins have been announced globally every year on average.[9]
As Exhibit 3 shows, it can take two or more years to complete a spin-off requiring in general more time and resources by the parent.

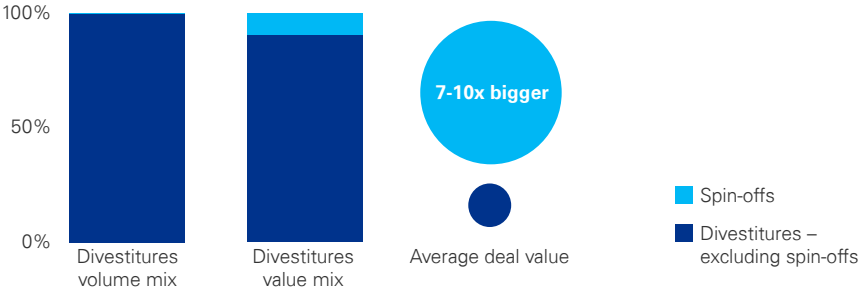
[7] Source: S&P Capital IQ, KPMG analysis
[8] Source: Refinitiv, KPMG analysis
[9] Source: Capital IQ, KPMG analysis

Exhibit 1. On average, 10 percent of spins are cancelled and 7 percent of all spins completely abandoned



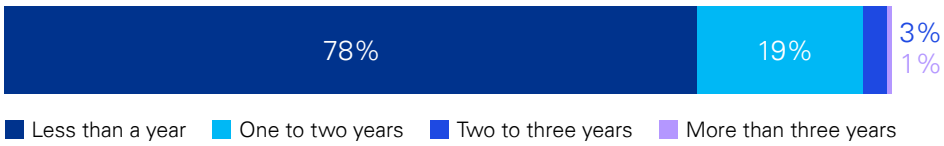
Source: Capital IQ, KPMG Insights and Analysis (2016-2019). (Note: data in this chart excludes spins announced in 2020 and beyond since many of these deals are still within the possible cancellation window.)

Exhibit 2. Spin-offs are less common but significantly bigger



Source: Refinitv, KPMG Analysis (2007-2022 to date)

Exhibit 3. It can take two or more years to complete a spin-off



Source: Capital IQ, KPMG Insights and Analysis (2016-2021)

© 2022 KPMG LLP, a Delaware limited liability partnership and a member firm of the KPMG global organization of independent member firms affiliated with KPMG International Limited, a private English company limited by guarantee. All rights reserved.

There are many reasons why a spin doesn't move forward. These might include the economics of separating the business or even opposition by the shareholders.

An example of the latter is Toshiba's recent proposal to separate its Semiconductor and HDD business from its Infrastructure business. The plan, announced in February 2022, was designed to unlock value through the elimination of the conglomerate discount attributable, in the words of the company,[10] to the co-existence of two different businesses that do not create synergies. The spin was designed to establish "a management structure equipped with expertise in each business" that would be better able to deal with the changing business environment, Toshiba said. But, at an extraordinary general meeting in March, management's spin proposal was rejected by the shareholders.[11]

Another example highlights how, going through the rigorous process required by a spin off can, in fact, uncover new value and help to focus attention on key business challenges. Tenet Healthcare Corporation announced in March 2022[12] that "based on ongoing shareholder value creation opportunities and improved business fundamentals the company will no longer pursue a spin-off of its Conifer Health Solutions subsidiary." Tenet management now believes retaining the strengthened business creates more shareholder value.

[10] Source: Toshiba Group IR Day 2022, February 7, 2022

[11] Source: "Nearly 60% of Toshiba shareholders rejected spin-off plan", Reuters, March 28, 2022

[12] Source: Company news, March 1, 2022

© 2022 KPMG LLP, a Delaware limited liability partnership and a member firm of the KPMG global organization of independent member firms affiliated with KPMG International Limited, a private English company limited by guarantee. All rights reserved.